

A PRODUCT CASE STUDY BY LOHITH REGALLA

Spotify's casual-listener retention has plateaued in India.

Let's see how rebuilding the discovery surface for the country's largest free-tier cohort can move it.

INDEPENDENT · 2026

DISCOVERY · RETENTION · RICE

FOR: PM PORTFOLIO

(KPI TREE)

Highlighted nodes drive Daily Active Usage — the level we want to move.

Daily Active Users

North-star input metric

Sessions / user / week

3.1 today, target 4.5+

Days active / week

Cohort frequency

New Users

Acquisition (out of scope here)

Songs / session

Discovery throughput

Skip rate (free)

Repetition / fit signal

Returning Users

Where the retention plateau lives

Save / Like rate

Affinity signal

Time-to-first-listen

Open → play latency

(SEGMENT)

User segment – casual free-tier listeners in Tier 1 / 2 India.

DEMOGRAPHICS

GENDER	All
AGE	18 – 30 yrs
DEVICES	Mobile-first
GEOGRAPHY	Tier 1 / 2 cities
INCOME	₹25k – ₹80k / month
TIER	Spotify Free
PSYCHOGRAPHICS	
GOALS	Background music for commute / work / cooking
PAIN	Repetitive recs, ads, no skips
BEHAVIOUR	30 – 45 min sessions, 2 – 3 days / week
PREFERS	Bollywood, Punjabi, lo-fi, regional

ESTIMATED SIZE OF THE SEGMENT

1	Population of India	1.4 bn
2	% smartphone-using urban Indians	× 32 %
3	% in 18 – 30 age band	× 28 %
4	% who use a music-streaming app	× 40 %
5	% on Spotify free-tier (vs. competitors)	× 14 %
=	Addressable segment	~ 7 mn users

~ 7 mn people in this segment – large enough that even a modest retention lift would compound into meaningful ARPU + Premium-conversion upside.

How might we keep India's casual listeners coming back to Spotify each week?

RESEARCH CONTEXT

Casual free-tier listeners open Spotify a few times after install, then quietly stop. We want to understand *why* the second-month curve flattens, and whether discovery is the lever.

HYPOTHESES

- Discovery surfaces too few fresh, region-relevant tracks after the first 2 – 3 sessions.
- Free-tier constraints (ads, shuffle-only, no skips) feel punitive vs JioSaavn / Wynk Music.
- Indian regional / Hindi catalogue is under-curated for the segment's taste.

1:1 USER-INTERVIEW QUESTIONNAIRE

- Walk me through your day – when do you listen to music? How often?
- Which apps do you use today? What do you love and what frustrates you about each?
- Tell me about the last time you opened Spotify. What did you do, what did you listen to, did you finish?
- How do you discover new music? Recommendations, friends, Reels, radio, somewhere else?
- What would make you reach for Spotify *first* instead of YouTube or JioSaavn?
- What would make you happy to pay ₹X / month for an audio app? Anchor on your current spend.

User insights from 12 interviews.

BEHAVIOUR

- 18 – 30 commuters / students. 30 – 45 min sessions, 2 – 3 days a week.
- Listening usually parallel to another task – commute, work, gym, cooking.
- Already saturated with TikTok / Reels audio + YouTube Shorts. Spotify is round-3 in the consideration set.
- Most willing to pay ₹99 – ₹149 / month *if* the catalogue + experience compounds week on week.

PAIN POINTS (SPOTIFY FREE)

- Daily Mixes feel repetitive after 2 – 3 weeks; same 50 tracks loop.
- Forced shuffle on free tier breaks listening flow, especially during workouts and commute.
- Hindi + regional catalogue feels thin vs JioSaavn. Regional discovery is buried.
- Ads cut in at the worst moment – the high-energy second song of a session.

EXPECTATIONS

- A discovery surface that surfaces fresh, region-relevant tracks each session.
- More agency on the free tier – at least N skips per day, no shuffle-only restriction on user-built playlists.
- A clearer path from *I-like-this-song* → *more-like-this* without leaving the player.
- Social cues – what friends are listening to right now, not just retro Wrapped recaps.

(PERSONA)

Aarav Kumar · 24 · Bengaluru

Casual free-tier listener

“I just want music for my commute. Why does it keep playing the same 50 songs?”

A 24-year-old engineer who commutes 90 min / day in Bengaluru. Lives in a shared flat, takes home ₹65k / month, splits time between work, the gym, and weekend movies with friends. Listens to Bollywood, Punjabi, and lo-fi. Installed Spotify three months ago, still uses it ~ twice a week, but says the recommendations “got boring fast.”

Day in the life

- 7:30 am · gym shuffle, but his playlist keeps repeating.
- 9:15 am · cab to work, opens Daily Mix 1 → skips four songs in a row → tunes back to YouTube.
- 6:45 pm · home commute, drops in to “Top Hits Hindi” occasionally.
- Saturday · plays a friend’s “Punjabi for the Long Drive” playlist on full repeat.

Tools in his audio stack

- Spotify Free (this is the slip).
- YouTube Music (default for new releases).
- Instagram Reels audio (driver of new-track discovery).
- Friends’ shared WhatsApp playlists.

Aarav opens Spotify on a Tuesday-morning commute.

PERSONA · AARAV, 24

SCENARIO · 9 AM CAB RIDE, 35 MIN

EXPECTATION · JUST PLAY ME GOOD MUSIC, FAST

STEP 01 · OPEN & LANDING

Taps Spotify icon. Lands on Home with “Made for Aarav” shelves on top.

THINKING

Hope today's Daily Mix has something I haven't already heard 12 times.

SAYING

Why is the same playlist on top every day? Surprise me.

STEP 02 · PICK A PLAYLIST

Opens Daily Mix 1. Free-tier shuffle starts. Plays first track.

THINKING

First song is fine, but I've heard it 50 times this month.

SAYING

Why can't I just listen to *this* song straight through, in order? Shuffle is annoying.

Discovery friction starts compounding.

PERSONA · AARAV, 24

SCENARIO · 10 MIN IN, THREE SONGS DEEP

EXPECTATION · KEEP THE ENERGY GOING

STEP 03 · SKIP + AD

Skips two songs. Hits the daily skip cap on free tier. 30-second ad plays.

THINKING

Six skips already? Why is the cap so tight, and why does the ad always cut in at the high-energy second track?

SAYING

I get it's free, but Wynk gives me more breathing room than this.

STEP 04 · LOOK FOR SOMETHING NEW

Opens Search. Browses Hindi → most tiles look like the Spotify-global Bollywood radio.

THINKING

Where's the new Punjabi stuff? Where's the regional section? Search isn't built for me.

SAYING

Reels figured my taste out in two weeks. Spotify still doesn't know me.

The session ends — earlier than it should.

PERSONA · AARAV, 24

SCENARIO · 18 MIN IN, HALF THE COMMUTE LEFT

EXPECTATION · REACH DESTINATION ON A HIGH NOTE

STEP 05 · SWITCH OUT

Closes Spotify. Opens YouTube Music. Plays a recently-saved track. Stays there.

THINKING

YT Music remembers what I played yesterday. Spotify keeps re-pitching the same Daily Mix.

SAYING

Spotify isn't bad — it's just the third app I open, not the first.

STEP 06 · THE PATTERN REPEATS

Two more sessions that week, same shape. By week 3, opens Spotify only on Friday for the Discover Weekly drop.

THINKING

I'll come back for Discover Weekly, but the rest of the week I'm not loyal.

SAYING

The drop is great. Everything around it isn't pulling me back daily.

What is the true problem?

Casual Indian free-tier users churn because Spotify's discovery surface keeps showing the same global-leaning Daily Mix while **the listener's actual taste — Hindi, regional, mood-led — sits underneath three taps and feels under-curated.**

Free-tier constraints (forced shuffle, tight skip cap, ad timing) compound the frustration before the user has stayed long enough to feel taste compounding.

Why now?

JioSaavn and Wynk have caught up on regional curation; YouTube Music is winning the *discovery* → *save* loop in India; Reels has become the new audio-discovery tool. Free-tier weekly retention in India has slowed Q / Q. The window to fix it is shrinking.

FOR USERS

A discovery surface that learns Indian taste fast and surfaces fresh region-relevant tracks every session — not the same loop after two weeks.

FOR BUSINESS

Even a +0.6 lift in sessions / user / week across the ~7 mn segment compounds into meaningful Premium India conversion. Internal estimate ≈ ~\$28 mn ARR uplift at steady state*.

*7 mn × 8 % conversion lift × ₹49/mo × 12 ÷ ₹84/USD ≈ ~\$28 mn

(RICE)

Solution prioritisation — RICE on four candidate bets.

SOLUTION	REACH	IMPACT	CONFIDENCE	EFFORT	PRIORITY
Regional Discovery Hub — a dedicated, ML-curated India surface (Hindi / Punjabi / regional) that learns from in-session signals.	H	H	H	M	1
Free-tier <i>Daily Skips</i> allowance + ad-pacing rework (more agency, fewer flow breakers).	H	M	M	L	2
Mood-and-moment playlists that adapt to time of day + activity (commute, gym, focus).	H	M	L/M	M	3
Friends' Now-Playing ribbon — surface what your contacts are listening to, right now, not retro Wrapped.	M	M	M	M	4

For India's casual-listener segment, regional taste is the shared deficit — and the bet that compounds across every other surface (search, daily mixes, autoplay, ad pacing). It's the highest-leverage starting point.

(CHOSEN SOLUTION)

/regional discovery hub.

A first-class India surface inside Spotify Free — Hindi, Punjabi, and regional content curated by both editorial and in-session signals. Three surfaces work together:

DISCOVER · TODAY

A live, regional “For You” shelf

Refreshes daily with ~20 new tracks based on the user’s last 7-day skip / save / replay pattern. Weighted toward Indian regional artists.

MOOD-AND-MOMENT

Time-aware curation

Commute, gym, study, late-night, festival drives. Each with a regional-first edit.

FRIENDS RIBBON

Live “Now Playing”

See what your contacts on Spotify are listening to right now (opt-in). The social proof Reels has, brought back home to Spotify.

User stories — the casual listener seeking better discovery.

DISCOVER · TODAY

- As a user, I should land on a Today shelf above my Daily Mixes that surfaces 15 — 25 fresh, region-relevant tracks each morning.
- As a user, I should see *why* a track was picked for me (e.g. “based on your saves last week”).
- As a user, I should be able to swipe-dismiss a track and have the model down-weight that artist for a week.
- As a user, my first save / replay in a session should reshape what I see for the rest of the week.

MOOD-AND-MOMENT

- As a user, I should see playlists that match my time of day and likely activity (commute, gym, focus, late night).
- As a user, each mood playlist should feel India-first — Hindi / regional weighted, not the global default.
- As a user, I should be able to mark a mood as “not for me” without it affecting my Daily Mix taste graph.

User stories — friends ribbon + free-tier rework.

FRIENDS RIBBON

- As a user, I should see a slim ribbon of contacts who are listening on Spotify right now (opt-in privacy default off).
- As a user, I should be able to tap a friend and join their session OR jump to the song they're on.
- As a user, I should be able to react with a single emoji on what they're listening to — soft, low-friction social.

FREE-TIER PACING (V2)

- As a user, I should get an additional “daily skips” allowance once I hit certain engagement signals (saves, shares).
- As a user, ads should not interrupt the second track of a fresh session — pace ads after the third or fourth track instead.
- As a user, my own playlists should play in order on free tier (drop the global shuffle-only constraint).

(SUCCESS METRICS)

How we'll know the bet worked.

NORTH-STAR (NSM)

Sessions / user / week (free) — target 3.1 → 4.5+ in the casual-listener cohort.

30-day return rate for new free users in India (cohort vs control).

ADOPTION · DISCOVERY (L1)

Discover · Today CTR on shelf items.

Save rate within Discover · Today vs Daily Mix baseline.

% sessions that reach the Discover · Today shelf.

RETENTION (L1)

D7 and **D30** retention for new India free users.

Drop-off rate within session post first ad break.

Skip rate on free tier — direction matters more than absolute.

REVENUE + CHECK (L2)

Free → Premium conversion in India for the cohort.

Ad CPM × ad-impression on free tier (rebalance, don't collapse).

Customer Sat / NPS on the free-tier discovery experience.

Friends ribbon opt-in % — social health check.

(END)

Discovery is the lever. Regional is the wedge.

Built as an independent product case study — happy to walk through the trade-offs, the alternatives I considered, or the metric tree in more depth.

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